

Stock Market Fundamentals — Summary

Darshan Kumar GP | Week 2 — FinTech Domain Fundamentals | Bluestock Fintech

What is a Stock Market?

A marketplace where ownership shares of publicly listed companies are bought and sold between investors. Owning a share means owning a small proportional piece of that company. Prices move based on supply and demand — how many people want to buy versus sell at a given moment.

Exchanges & Indices

India's two main exchanges are the NSE (National Stock Exchange, higher trading volume) and the BSE (Bombay Stock Exchange, oldest in Asia). Most large companies list on both. An index summarises the performance of a basket of stocks into one number: Nifty 50 tracks NSE's top 50 companies by size; Sensex tracks BSE's top 30.

Going Public: IPO & SME IPO

An IPO (Initial Public Offering) is the first time a private company sells shares to the public and becomes listed. An SME IPO follows the same process for smaller companies that don't meet mainboard listing size requirements — generally higher risk, lower liquidity.

Valuation Metrics

- Market Capitalisation = Share Price × Total Shares Outstanding — the market's view of total company value
- PE Ratio = Share Price ÷ EPS — how much investors pay per rupee of annual profit
- PB Ratio = Share Price ÷ Book Value per Share — price relative to accounting net worth
- EPS (Earnings Per Share) = Net Profit ÷ Total Shares — profit sliced per share

Shareholder Actions

- Dividend — a direct cash payout of profit to shareholders
- Bonus Shares — free extra shares issued to existing holders; total value unchanged, just more slices
- Stock Split — an existing share divided into multiple smaller shares; same effect, no new value created
- Trading Volume — number of shares that changed hands in a period; a proxy for market interest/activity

Financial Statements

- Balance Sheet — a snapshot of assets, liabilities, and equity on one specific date
- Profit & Loss Statement — revenue minus expenses over a period, showing profit or loss
- Cash Flow Statement — actual cash movement in and out; can differ from accounting profit

Ratios (PE, PB, EPS, ROE, Debt-to-Equity, etc.) exist to make companies of different sizes comparable on a like-for-like basis, rather than relying on raw rupee figures alone.